

Before investing each time, answer this -

I am making this investment because...

- Because the product of the company is break through.
- 95% of the market share is being held by the company.
- ~~~~~
- ~~~~~

Be very specific while identifying why you are buying a particular stock.

Write down the facts here that you have accumulated from research that you know are correct.

I think I will make a good return because...

- The company releases a new product that will boost its sales in the coming years and will expand margins.
- The company merged, and we anticipate a positive return due to the synergies.
- ~~~~~
- ~~~~~

Write down all the assumptions you have made about the company. Things to that you will need to be free for us to earn attractive returns.

Next, explain why you believe the business will prosper or make good returns?

The risks that I know I am taking are...

- EV poses a risk to vehicles, in terms of maybe battery or even due to safety.
- The asset-liability match may not be ideal if we invest in banks. That is if the bank has 100 crores worth of short-term liability, it should have 100 crores worth of liquid assets to pay them off.
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Finally, what are the risks that you are aware of through analysis as we invested despite them?

We should always know about the risks we knew and willingly took, and should write them down too.

So, this is our entire hypothesis for buying the stock. Following this, we will immediately make a list of assumptions. You have to be specific and use numbers or figures.